Xcel Energy®

2023 SECOND QUARTER EARNINGS REPORT PRESENTATION

JULY 27, 2023

Safe Harbor

Except for the historical statements contained in this presentation, the matters discussed herein are forward-looking statements that are subject to certain risks, uncertainties and assumptions. Such forward-looking statements, including those relating to 2023 EPS guidance, long-term EPS and dividend growth rate objectives, future sales, future expenses, future tax rates, future operating performance, estimated base capital expenditures and financing plans, projected capital additions and forecasted annual revenue requirements with respect to rider filings, expected rate increases to customers, expectations and intentions regarding regulatory proceedings, and expected impact on our results of operations, financial condition and cash flows of resettlement calculations and credit losses relating to certain energy transactions, as well as assumptions and other statements are intended to be identified in this document by the words "anticipate," "believe," "could," "estimate," "expect," "intend," "may," "objective," "outlook," "plan," "project," "possible," "potential," "should," "will," "would" and similar expressions. Actual results may vary materially. Forward-looking statements speak only as of the date they are made, and we expressly disclaim any obligation to update any forward-looking information. The following factors, in addition to those discussed in Xcel Energy's Annual Report on Form 10-K for the fiscal year ended Dec. 31, 2022 and subsequent filings with the Securities and Exchange Commission, could cause actual results to differ materially from management expectations as suggested by such forward-looking information: operational safety, including our nuclear generation facilities and other utility operations; successful long-term operational planning; commodity risks associated with energy markets and production; rising energy prices and fuel costs; qualified employee workforce and third-party contractor factors; violations of our Codes of Conduct; our ability to recover costs and our subsidiaries' ability to recover costs from customers; changes in regulation; reductions in our credit ratings and the cost of maintaining certain contractual relationships; general economic conditions, including recessionary conditions, inflation rates, monetary fluctuations, supply chain constraints and their impact on capital expenditures and/or the ability of Xcel Energy Inc. and its subsidiaries to obtain financing on favorable terms; availability or cost of capital; our customers' and counterparties' ability to pay their debts to us; assumptions and costs relating to funding our employee benefit plans and health care benefits; our subsidiaries' ability to make dividend payments; tax laws; uncertainty regarding epidemics, the duration and magnitude of business restrictions including shutdowns (domestically and globally), the potential impact on the workforce, including shortages of employees or third-party contractors due to quarantine policies, vaccination requirements or government restrictions, impacts on the transportation of goods and the generalized impact on the economy; effects of geopolitical events, including war and acts of terrorism; cyber security threats and data security breaches; seasonal weather patterns; changes in environmental laws and regulations; climate change and other weather events; natural disaster and resource depletion, including compliance with any accompanying legislative and regulatory changes; costs of potential regulatory penalties and wildfire damages in excess of liability insurance coverage; regulatory changes and/or limitations related to the use of natural gas as an energy source; challenging labor market conditions and our ability to attract and retain a qualified workforce; and our ability to execute on our strategies or achieve expectations related to environmental, social and governance matters including as a result of evolving legal, regulatory and other standards, processes, and assumptions, the pace of scientific and technological developments, increased costs, the availability of requisite financing, and changes in carbon markets.

Contacts

Paul Johnson
Vice President, Treasurer & IR
612-215-4535
paul.a.johnson@xcelenergy.com

Roopesh Aggarwal
Senior Director, Investor Relations
303-571-2855
roopesh.k.aggarwal@xcelenergy.com

Darin Norman
Consultant, Investor Relations
612-337-2310
darin.norman@xcelenergy.com

Website: https://investors.xcelenergy.com/

Xcel Energy mobile app also available

2023 Q2 Financial and Operational Highlights

- Strong progress on resource plan RFPs:
  - Recommended 250 MW of company-owned solar at NSP
  - Recommended 418 MW of company-owned solar at SPS
  - Expect to file PSCo recommended portfolio in third quarter
- Filed second Transportation Electrification Plan in Colorado
- Minnesota Commission approval of 10 MW long duration Form Energy battery pilot at Sherco site. Awarded $20 million in grant funding from Breakthrough Energy Ventures for both pilot projects.
- Released Sustainability Report, highlighting our ESG pillars and achievements, including a 53% carbon reduction (electric generation) since 2005
- Completed multiple rate cases (MN, SD) and reached pending settlements (CO, NM)
- Anticipate beginning tax credit transferability monetization during the third quarter
- Reaffirming 2023 EPS guidance of $3.30 to $3.40

Generation RFPs Outstanding

RFP	Scope*	Key Dates
PSCo	• IRP needs through 2028 • 2,800 MW renewables • 200 MW storage • 1,176 MW firm peaking	• Bids received March 2023 • Recommended portfolio Q3 2023 • CPUC decision 2023 • PSCo will file additional RFPs for remaining requirements
NSP	• Solar / storage by 2026	• In May, NSPM filed recommended portfolio − Sherco Solar 3 – 250 MW self-build − Apple River – 100 MW PPA • Decision Summer 2023 • NSP will file additional RFPs for remaining requirements
SPS	• All source RFP through 2027 • Utilize SPS interconnection rights	• Bids received February 2023 • In June, recommended 3 self-build solar projects for 418 MW • Decision expected by mid-2024 • SPS will file additional RFPs for remaining requirements, including the retirement of the Tolk coal plant (if approved)

* Actual mix will be based on bid evaluation and could vary from indicated amounts

Sustainability Goals - Tangible Progress

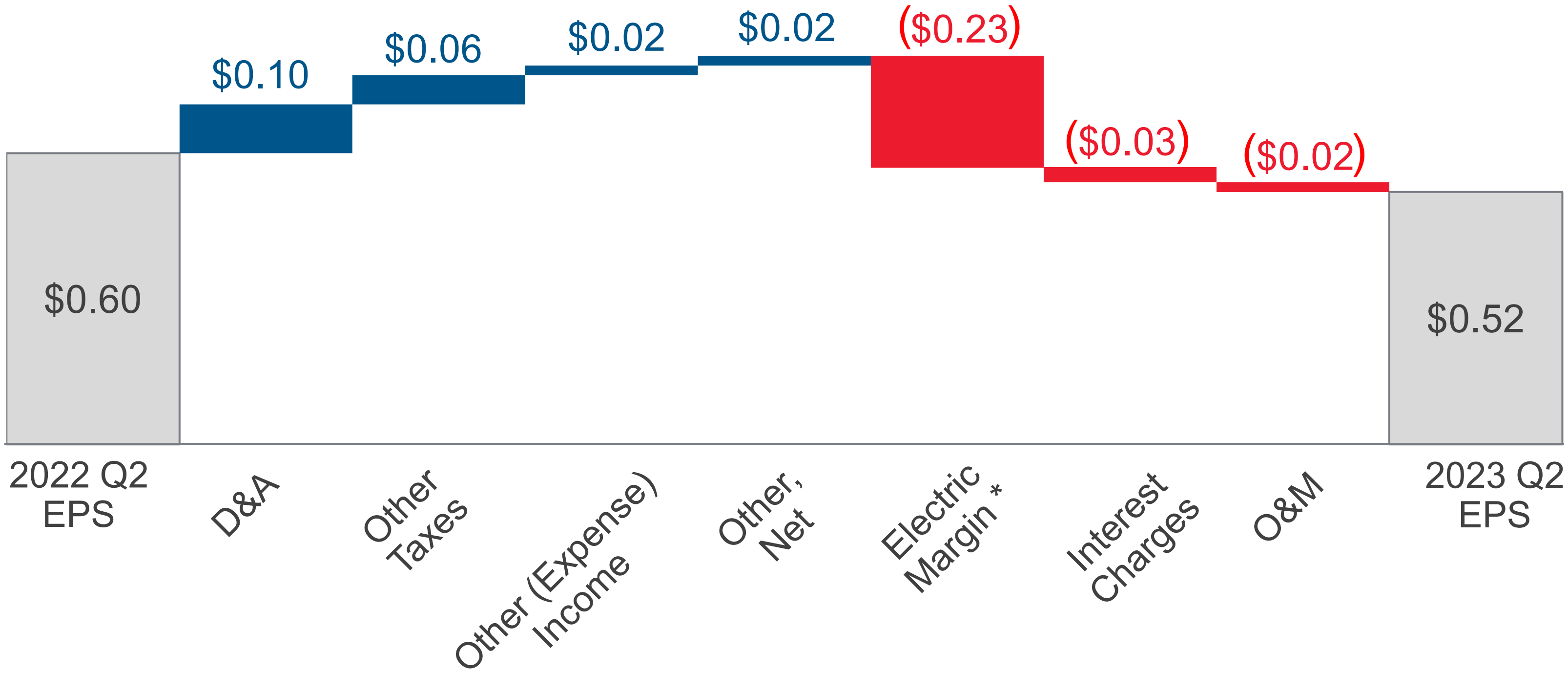
	GOAL	PROGRESS
CO_2	**80% lower carbon emissions by 2030, 100% carbon-free electricity by 2050***	53% reduction 2005 - 2022
	25% lower net GHG emissions by 2030, net-zero by 2050**	Filing first Clean Heat Plan in Colorado in Q3 2023
	70% less water consumption by 2030*	39% reduction 2005 - 2022
	Bill increases ≤ rate of inflation	Residential electric 2013-2022 CAGR = 1.8% Residential gas 2013-2022 CAGR = 4.7% ***
	1 in 5 EVs powered by 2030	Programs approved in MN, CO, WI, and NM
	Coal plant closure impacts mitigated	8 plant closures, 0 layoffs to date
$	**Local economies supported**	58% supply chain spend local in 2022 ~$1.8 billion investment; 2,900 jobs in 2022
	Workforce reflects our communities	Board: 33% female, 17% diverse (YE 2022) Workforce: 24% female, 18% diverse (YE 2022)
	25% spend with diverse suppliers by 2025	~11% ($548 million) in 2022

* Includes owned and purchased electricity serving customers
** Spans natural gas supply, distribution and customer use
*** Global natural gas prices increased significantly in 2022. Prices have come down significantly in 2023.

EPS Results by Operating Company

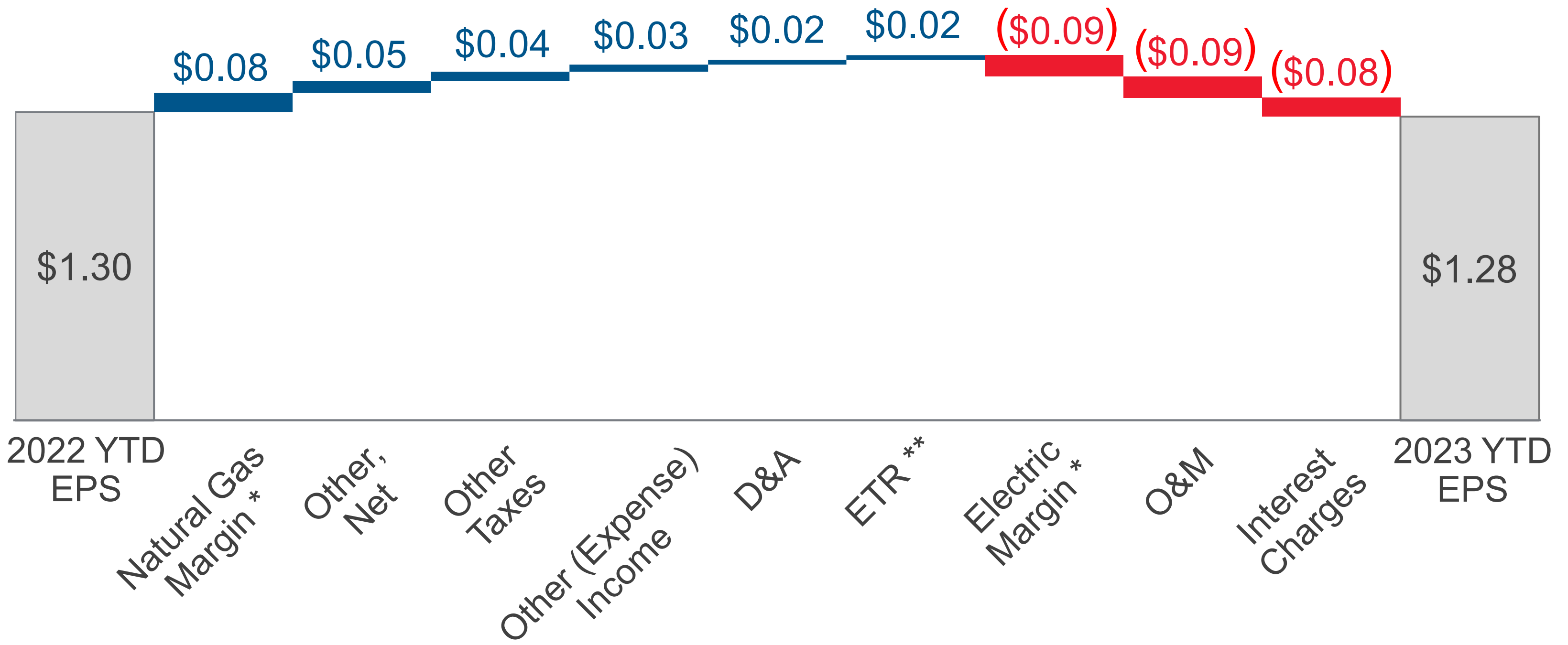
	Second Quarter		YTD	
Operating Company	**2023**	**2022**	**2023**	**2022**
PSCo	$ 0.17	$ 0.24	$ 0.56	$ 0.56
NSPM	0.23	0.22	0.48	0.45
SPS	0.15	0.17	0.25	0.27
NSPW	0.05	0.03	0.13	0.11
Earnings from equity method investments	0.01	0.01	0.02	0.02
Regulated utility	0.60	0.67	1.43	1.41
Holding company and other	(0.08)	(0.07)	(0.15)	(0.11)
Total GAAP and ongoing diluted EPS	**$ 0.52**	**$ 0.60**	**$ 1.28**	**$ 1.30**

Quarterly GAAP and Ongoing EPS Change



* Electric margin includes ~$0.03 of negative weather impacts (post regulatory mechanisms)

YTD GAAP and Ongoing EPS Change

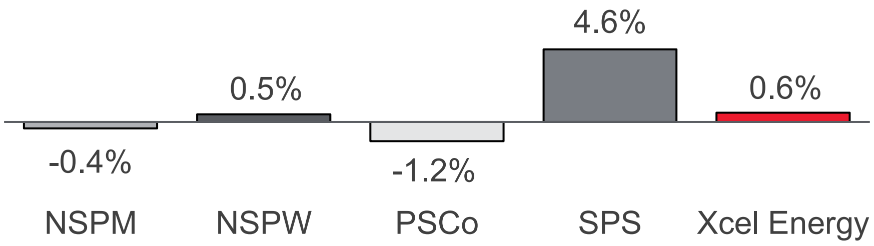


* Combined electric and natural gas margins include ~$0.04 of negative weather impacts (post regulatory mechanisms)

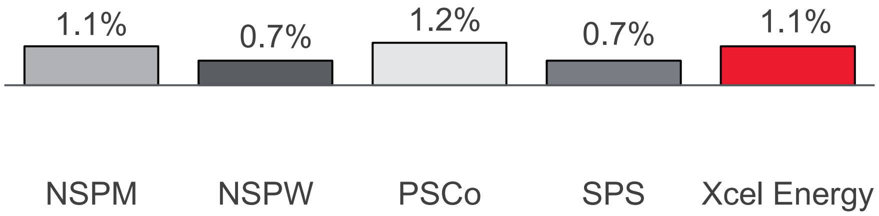
** Includes PTCs and plant regulatory amounts, which are primarily offset in electric margin

Sales and Customer Data

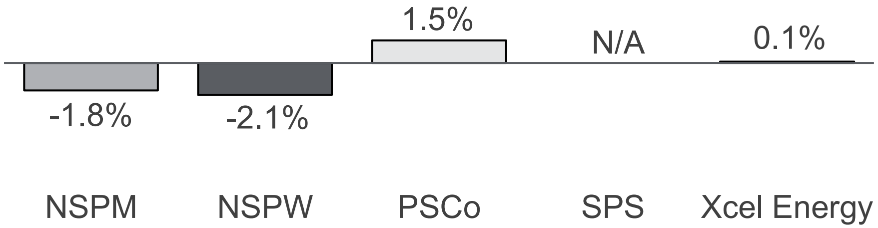
2023 YTD W/A Retail Electric Sales Growth



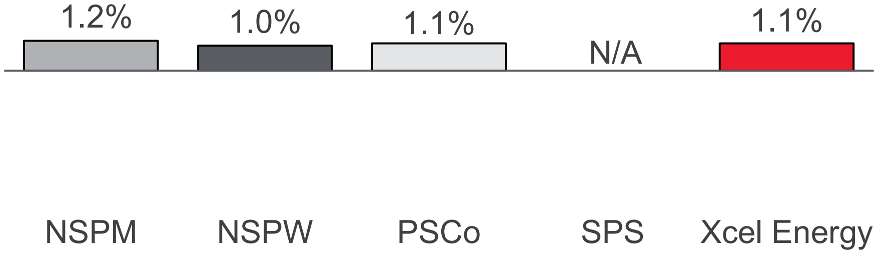
2023 Q2 YoY Electric Customer Growth



2023 YTD W/A Natural Gas Sales Growth



2023 Q2 YoY Natural Gas Customer Growth



NSPM Minnesota Electric Rate Case

Proceeding No. 21-630

- In October 2021, NSPM filed a three-year electric rate case:
  - Revised rate request seeking an increase of $498 million over three years
  - ROE of 10.2% and equity ratio of 52.5%
  - 2022 - 2024 forward test years
  - MPUC approved interim rates of $247 million, effective January 2022 (subject to refund)

$ Millions	2022	2023	2024	Total
Rate request	$234	$94	$170	$498
Rate base	$10,923	$11,425	$11,902	N/A

- In March 2023, the ALJ recommended a three-year rate increase of $386 million, based on a 9.87% ROE and 52.5% equity ratio
- In June 2023, the MPUC approved an estimated three-year rate increase of $311 million based on a 9.25% ROE and 52.5% equity ratio

NSPM South Dakota Electric Rate Case

Proceeding No. EL22-017

- In June 2022, NSPM filed an electric rate case requesting:
  - Rate increase of ~$44 million
  - ROE of 10.75% and equity ratio of 53%
  - Rate base of ~$947 million
  - 2021 historic test year
  - Interim rates implemented in January 2023
- In June 2023, the SDPUC approved a settlement for a $14 million net base and rider revenue increase, and a $12 million decrease in depreciation and nuclear decommissioning expenses
- Final rates effective July 2023

PSCo Colorado Electric Rate Case

Proceeding No. 22AL-0530E

- In November 2022, PSCo filed an electric rate case requesting:
  - Revised net base rate increase of ~$253 million
  - ROE of 10.25% and equity ratio of 55.7%
  - 2023 forward test year
  - Rate base of $11.3 billion
- In June 2023, filed nearly comprehensive settlement including:
  - Rate increase of $95 million (excluding rider roll-ins), based on 2022 historic test year using year-end rate base with forward looking known and measurable adjustments
  - Alternative rate increase of $47 million (excluding rider roll-ins) if depreciation expense deferrals for certain coal generating assets are accepted by the CPUC
  - ROE of 9.3%, and equity ratio of 55.69%
  - Collection of $12 million of 2023 TCA revenues that were previously suspended
- A Commission decision is expected the third quarter with rates effective in September 2023

SPS New Mexico Electric Rate Case

Proceeding No. 22-00286-UT

- In November 2022, SPS filed an electric rate case requesting:
  - Revised rate increase of ~$75 million
  - ROE of 10.75% and equity ratio of 54.7%
  - Rate base of ~$2.4 billion
  - Acceleration of Tolk coal plant depreciation life from 2032 to 2028
  - Forward test year ending June 30, 2024
- In May 2023, filed a contested settlement reflecting a rate increase of $33 million, based on a forward test year, ROE of 9.5%, equity ratio of 54.7% and the acceleration of Tolk retirement
- NMPRC decision and implementation of rates anticipated in 2023 Q4

NSPW Wisconsin Electric & Natural Gas Rate Case

Proceeding No. 4220-UR-126

- In April 2023, NSPW filed an electric and natural gas rate case requesting:
  - Base electric rate increase of ~$40 million
  - Base natural gas rate increase of ~$9 million
  - ROE of 10.25% and equity ratio of 52.5%
  - 2024 forward test year
- PSCW decision anticipated in 2023 Q4 with rates effective in January 2024

SPS Texas Electric Rate Case

Proceeding No. 54634

- In February 2023, SPS filed an electric rate case requesting:
  - Revised base rate increase of ~$158 million
  - ROE of 10.65% and equity ratio of 54.6%
  - Rate base of ~$3.6 billion
  - Acceleration of Tolk coal plant retirement from 2034 to 2028
  - Historic test year ending December 31, 2022
  - Requesting a surcharge from July 13, 2023 through the effective date of new base rates
- PUCT decision and implementation of rates anticipated in 2024 Q1

2023 GAAP and Ongoing EPS Guidance: $3.30 - $3.40

Earnings Drivers	Key Assumptions (as compared to 2022 levels unless noted)
Regulatory proceedings	Constructive outcomes in all pending proceedings
Weather	Normal weather patterns for the remainder of the year
W/A retail electric sales	Increase of ~1%
W/A retail firm natural gas sales	Relatively flat
Capital riders (net of PTCs)	Increase $40 - $50 million. Change largely due to revised projected levels of PTCs, driven by a change in PTC rate, which are offset in the ETR and largely earnings neutral
O&M expenses	Decline ~3%
Depreciation expense	Increase $30 - $40 million. Changes largely due to regulatory decisions offset in revenue
Property taxes	Decrease $20 - $30 million. Changes largely due to regulatory decisions offset in revenue
Interest exp. (net of AFUDC-debt)	Increase $80 - $90 million
AFUDC-equity	Increase $0 - $10 million
Effective tax rate (net of PTCs)	~(9-11%). Change largely due to revised projected levels of PTCs, driven by a change in PTC rate, which is offset in capital riders & fuel mechanisms and largely earnings neutral

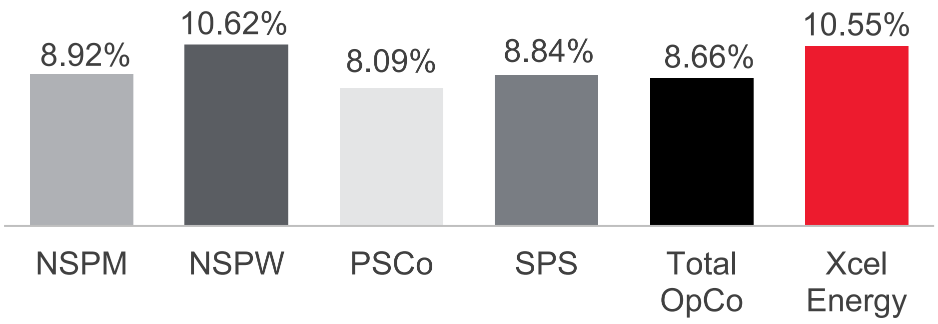
Ongoing earnings is calculated using net income and adjusting for certain nonrecurring or infrequent items that are, in management's view, not reflective of ongoing operations. Ongoing earnings could differ from those prepared in accordance with GAAP due to unplanned and/or unknown adjustments. Xcel Energy is unable to forecast if any of these items will occur or provide a quantitative reconciliation of the guidance for ongoing EPS to corresponding GAAP EPS.

APPENDIX

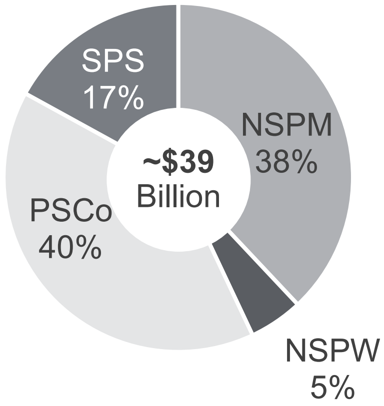
ROE Results – GAAP and Ongoing Earnings

GAAP and Ongoing ROE

Twelve Months Ended 6/30/2023



2022 Rate Base



Base Capital Expenditures by Function

$ Millions

	2023	2024	2025	2026	2027	Total
Electric Distribution	$1,610	$1,790	$1,680	$2,000	$2,450	$9,530
Electric Transmission	$1,280	$1,650	$1,890	$1,690	$1,900	$8,410
Electric Generation	$710	$910	$900	$560	$650	$3,730
Natural Gas	$740	$730	$760	$650	$680	$3,560
Other	$780	$840	$570	$510	$540	$3,240
Renewables	$280	$280	$470	$0	$0	$1,030
Total	**$5,400**	**$6,200**	**$6,270**	**$5,410**	**$6,220**	**$29,500**

Base capital forecast excludes potential incremental investment associated with resource plans

Base Capital Expenditures by Company

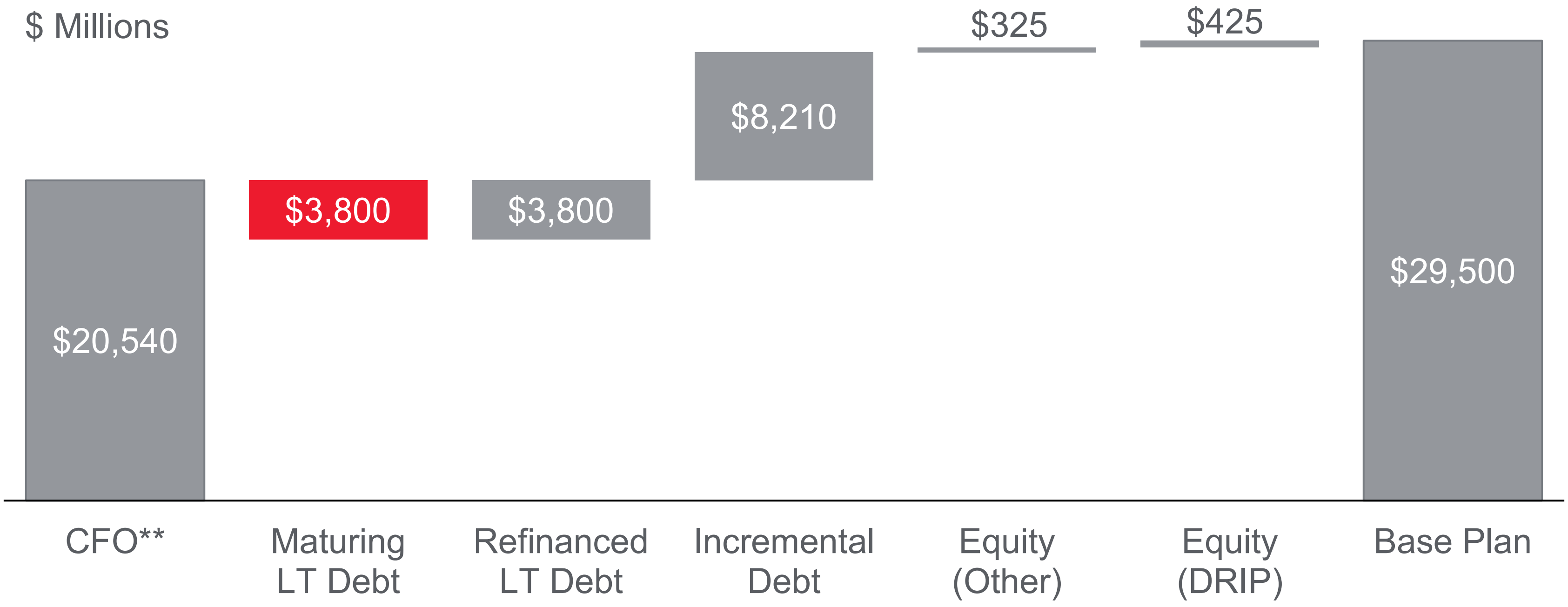
$ Millions

	2023	2024	2025	2026	2027	Total
NSPM	$2,000	$2,400	$2,530	$2,200	$2,580	$11,710
NSPW	$540	$570	$500	$450	$540	$2,600
PSCo	$2,140	$2,440	$2,550	$1,980	$2,190	$11,300
SPS	$710	$780	$720	$770	$900	$3,880
Other*	$10	$10	($30)	$10	$10	$10
Total	**$5,400**	**$6,200**	**$6,270**	**$5,410**	**$6,220**	**$29,500**

Base capital forecast <u>excludes</u> potential incremental investment associated with resource plans

* Includes intercompany transfers for renewable equipment

Financing Plan 2023 - 2027*



* Financing plans reflect tax credit transferability and are subject to change
** Cash from operations is net of dividends and pension funding

2023 Debt Financing Plan

$ Millions

Issuer	Security	Amount	Status	Tenor	Coupon
PSCo	First Mortgage Bonds	$850	Completed	30-Yr	5.25%
NSPW	First Mortgage Bonds	$125	Completed	30-Yr	5.30%
NSPM	First Mortgage Bonds	$800	Completed	30-Yr	5.10%
Hold Co	Unsecured Bonds	$700	Q3	N/A	N/A
SPS	First Mortgage Bonds	$100	Q3	N/A	N/A

Financing plans are subject to change, depending on capital expenditures, regulatory outcomes, internal cash generation, market conditions, changes in tax policies and other factors

Strong Credit Metrics

Plan	2023	2024	2025	2026	2027
FFO/Debt	~18%	~19%	~18%	~18%	~18%
Debt/EBITDA	4.9x	4.9x	4.9x	4.9x	4.9x
Equity Ratio	40%	40%	40%	40%	40%
Hold Co Debt/Total Debt	24.1%	24.3%	24.9%	24.7%	24.9%

Credit Ratings	Moody's	S&P	Fitch
Xcel Energy Unsecured	Baa1	BBB+	BBB+
NSPM Secured	Aa3	A+	A+
NSPW Secured	Aa3	A	A+
PSCo Secured	A1	A	A+
SPS Secured	A3	A	A-

Credit metrics based on base capital plan, include tax credit transferability and do not reflect rating agency adjustments. The FFO/Debt and Debt/EBITDA ratios are non-GAAP financial measures. FFO is generally calculated as GAAP-basis net cash provided by operating activities, adjusted for working capital and other items. EBITDA is generally calculated as GAAP-basis net income before interest, taxes, depreciation and amortization. Due to the forward-looking nature of these measures, Xcel Energy is unable to provide a reconciliation of these measures to the corresponding GAAP measures.

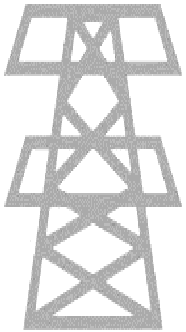
Long-Term Transmission Buildout

Major Expansion to Enable More Renewables

NSP

NSP Tranche 1 cap ex of **~$1.2 billion**

NSP Futures 1: Estimated cumulative **$4 - $5 billion investment** (over 10-15 years)



PSCo

~$1.7 billion Pathway enables 5.5 GW renewables via 560 miles of 345 kV lines

Additional $0.5 - $1.0 billion in potential future projects

SPS

$0.5 - $1.0 billion in potential projects that help alleviate congestion and enable future load growth and renewables in SPP

Minnesota Resource Plan

85% Carbon Reduction & Coal Exit by 2030

Full coal exit by 2030
- King (511 MW) retire 2028
- Sherco 3 (517 MW) retire 2030

Firm peaking capacity (reliability driven)
- 800 MW of hydrogen ready CTs
- 300 MW of repowered black start CTs
- Additional 1,900 MW needed in 2030 and beyond

Significant renewable additions
- 2,500 MW universal scale solar
- 2,150 MW wind
- Additional 1,100 MW beyond 2032

Nuclear extension (Monticello to 2040)

Transmission infrastructure
to enable new renewables

February 2022
Plan approved

2023 Q2 – 1st RFP
350 MW recommended portfolio
(250 MW owned)

2023 H2
Anticipated Commission decision

Additional RFPs will be issued for the remaining renewable generation needed, likely in 2023

Colorado Resource Plan

85% Carbon Reduction & Coal Exit by 2030

Full coal exit by 2030

- Hayden 1 & 2 (233 MW) retire 2028/2027
- Pawnee (505 MW) conversion to natural gas no later than January 2026
- Comanche 3 (500 MW) retires by 2030; reduced operations begin 2025

Significant renewable additions

- ~2,300 MW wind
- ~1,600 MW universal scale solar
- ~1,200 MW distributed solar

Firm peaking capacity

- ~1,300 MW flexible resources
- ~400 MW storage

Transmission expansion (approved)

Pathway enables additional renewables while improving reliability

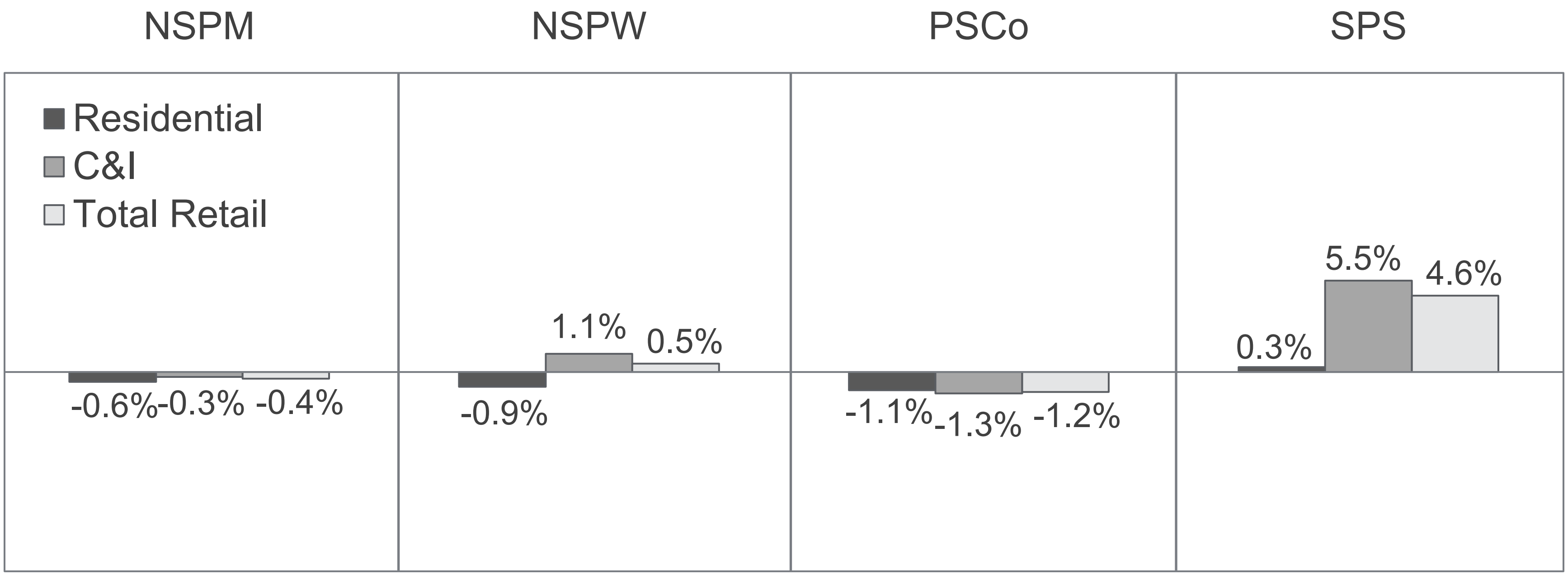
June 2022
Plan approved

2023 Q3
Recommended portfolio filing*

2023 H2
Anticipated Commission decision

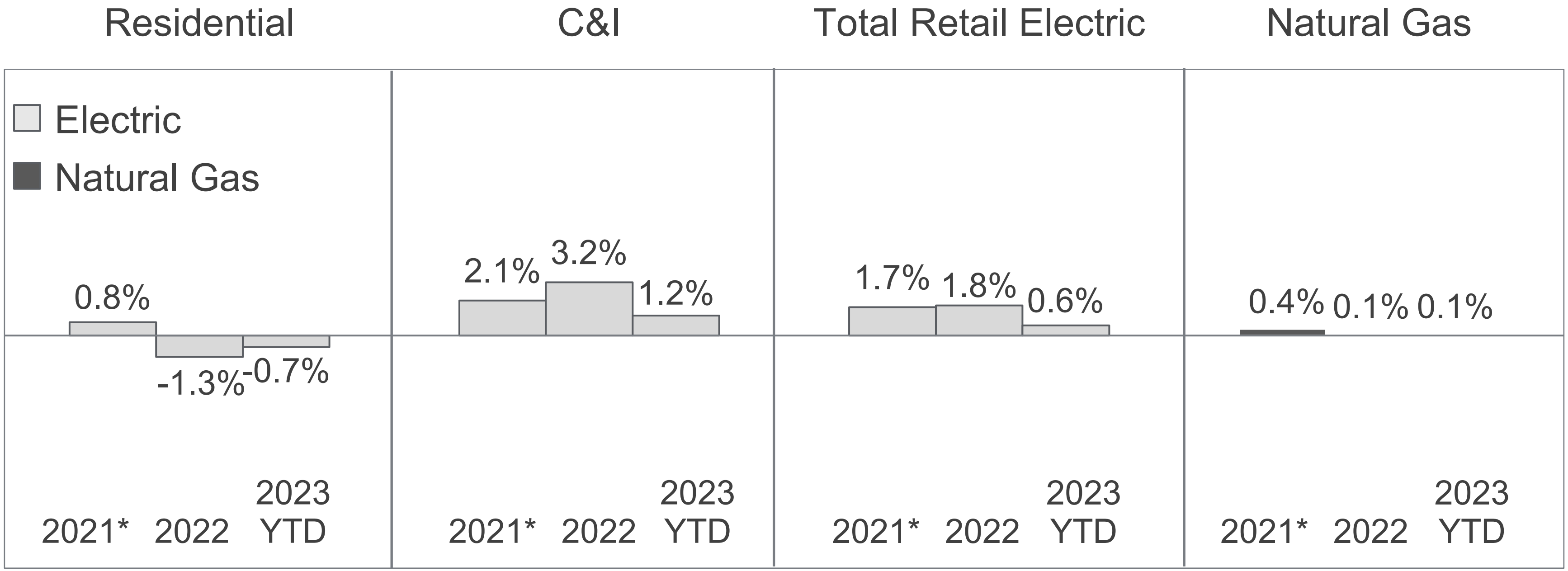
* RFPs through 2028 needs. Does <u>not</u> include distributed solar. Remaining capacity will be subject to future RFPs.

2023 YTD W/A Electric Sales Growth



Extreme weather variations, windchill and cloud cover may not be reflected in estimates

Xcel Energy W/A Sales Growth



* Leap year adjusted

Extreme weather variations, windchill and cloud cover may not be reflected in estimates

2023 Q3 Events

Events	Dates
UBS Kohler Conference	August 17
Barclays Conference	September 6
Wolfe Research Conference	September 28

Xcel Energy®